

Configuring Statutory Payments (UK)

User Guide

Access Limited Distribution

PeopleXD Payroll

Table of Contents

Document Control	3
1. Overview.....	4
1.1. Purpose of the Guide.....	4
1.2. What are Statutory Payments?	4
2. Configure Statutory Sick Pay (SSP) Rates	5
2.1. Maintain SSP Rates.....	5
3. Configure Statutory Pay Parameters	6
3.1. Configure Ordinary Statutory Parental Pay (OSSP)	6
3.2. Configure Statutory Maternity Pay (SMP)	8
3.3. Configure Statutory Paternity Pay (SPP)	10
3.4. Configure Statutory Adoption Pay (SAP)	11
3.5. Configure Keep In Touch Days.....	12
3.6. Configure Other Statutory Pay Parameters	13
3.7. Configure Redundancy.....	14
3.7.1. Configure Redundancy Parameters	15
3.8. Configure Additional Statutory Parameters	16
3.8.1. Average Pay/Pay Days.....	16
3.8.2. Configure Statutory Recovery Parameters	17
4. Menu Options Required	18

Document Control

Version	Date	Author	Details
1.0	30 th Nov 2019	Brian O'Keeffe	Published to Access LMS
1.1	18 th Jan 2024	James Martin	Formatting Update.

1. Overview

1.1. Purpose of the Guide

The purpose of this document is to provide guidance on how to configure Payroll to manage statutory payments.

1.2. What are Statutory Payments?

Statutory payments are payments that are made to employees to cover earnings lost when they are absent from work either through illness or because they are becoming a parent.

Payments covered include:

- Statutory Maternity Pay (SMP)
- Statutory Paternity Pay (SPP)
- Additional Statutory Paternity Pay (ASPP)
- Ordinary Statutory Sick Pay (OSSP)
- Adoption Pay (SAP)
- Shared Parental Leave
- Redundancy

2. Configure Statutory Sick Pay (SSP) Rates

2.1. Maintain SSP Rates

As part of the year end software delivery, new SSP rates are preconfigured in Payroll. Follow these steps to view the rates uploaded into PeopleXD:

1. On the **Payroll Dashboard** click the **Settings** tab.
2. In the UK Tax Rates section click **Maintain SSP Rates**.
3. Enter a **Year** and press **Enter/Tab**.

Maintain SSP Rate

Year *

2023

Rate Type	Weekly Rate	Lower Limit	Upper Limit	Standard Rate	
SP	109.40	0.00	0.00	0.00	...

Cancel

Add

Save

4. To edit a rate click into the field and enter the new data.
5. To add a new rate click **Add**. This opens a blank row:
 - a. Add a rate type (Max 2 characters).
 - b. Add the relevant details in Weekly Rate, Lower Limit, Upper Limit and Standard Rate as required.
6. Click **Save**.

3. Configure Statutory Pay Parameters

This section will provide guidance on how to configure the statutory pay parameters for each of the following types of statutory pay:

- SMP (Statutory Maternity Pay)
- SPP (Statutory Paternity Pay)
- SAP (Adoption Pay)
- Shared Parental Leave
- Redundancy

All parameters are available to configure on the *General* screen:

1. On the **Payroll Dashboard** click the **Settings** tab.
2. In the UK Tax Rates section click **General**.

3.1. Configure Ordinary Statutory Parental Pay (OSSP)

To maintain ordinary statutory parental pay configuration:

1. Go to the *General* screen.
2. Fill in the relevant fields in the OSSP section. Mandatory fields are highlighted with a red asterisk.



Note:

The following data is not updated as part of the software delivery as this screen is not linked to an effective date. If there has been changes made to any of these rates / data, they will need to be amended here.

Maintain Statutory Pay Parameters

OSSP

CoreTime Work Pattern

☒

Qualifying Days

S

M

T

W

T

F

S

PIW Minimum Days *

PIW Maximum Link Days *

PIW Years Limit *

Waiting Days *

SSP Weeks Limit *

Retirement Age Female *

Retirement Age Male *

Retirement Age Unknown *

SSP Pay Code

Rate Type

Timesheet Interface

☒

SSP Period Limit

SSP Recovery Percentage *

Field	Description
CoreTime Work Pattern	Enable this indicator if the employees CoreTime work pattern should override the OSSP qualifying days.
Qualifying Days	Enable each relevant day of the week to qualify for OSSP.
PIW Minimum Days	Enter a value for the Period of Incapacity for Work (PIW) minimum days. This is the minimum number of days of absence from work that must be reached before an employee will be considered for SSP. They do not have to be qualifying days. Anything less than four days of absence will be ignored for SSP purposes
PIW Maximum Link Days	Enter a value for the Period of Incapacity for Work (PIW) maximum link days. If two or more PIWs are separated by 56 days or less, they can be linked for SSP purposes. If this was the case, the employee would not have to serve his/her waiting days if they have already been served as part of a previous linked PIW within 56 days. If PIWs are separated by more than 56 days, they cannot be linked for SSP purposes.
PIW Years Limit	Enter a value for the Period of Incapacity for Work (PIW) years limit.
SSP Weeks Limit	Enter a value for the SSP weeks limit. This field indicates the max number of weeks that SSP can be paid for. SSP cannot be paid for

Field	Description
	longer than 28 weeks on any PIW. The payments should stop after 28 weeks. If the legislation changes and it requires SSP to be paid for a max of 30 weeks, the user would change the value in this field to 30.
Retirement Age Female	Enter a valid retirement age for females.
Retirement Age Male	Enter a valid retirement age for males.
Retirement Age Unknown	Enter a valid retirement age for employees where no gender is provided.
SSP Pay Code	Select the relevant OSSP pay code from the drop-down menu or enter a valid OSSP Code.
Rate Type	The Rate Type of SP has been preconfigured as part of software delivery.
Timesheet Interface	Enable this indicator if using external interface for timesheets.
SSP Period Limit	Enter the number of payroll periods prior to the current period to be used for calculating OSSP. If left blank, only the current period will be used.
SSP Recovery Percentage	SSP can no longer be recovered.

3. Click **Save**.

3.2. Configure Statutory Maternity Pay (SMP)

An employee who is expecting a baby has the right to Ordinary Maternity Leave and Additional Maternity Leave. You have to pay them SMP if the employee meets the certain conditions. Further details can be found on the [government website](#).

To maintain statutory maternity pay configuration:

1. Go to the *General* screen.
2. Fill in the relevant fields in the SMP section. Mandatory fields are highlighted with a red asterisk.

PeopleXD Payroll: Configuring Statutory Payments (UK)

SMP

SMP % of Average Pay *

90

Qualifying Weeks *

15

Average Earning Weeks *

8

No of Wks at High Rate *

6

Max SMP Weeks *

39

SMP Pay Code

Statutory Maternity Pay

SMP Recovery Percentage *

92

Field	Description
SMP % of Average Pay	Enter a valid percentage value for average pay. First 6 weeks - 90% of average weekly earnings with no upper limit.
Qualifying Weeks	Enter the number of weeks to qualify for SMP. The Employee must have worked for you continuously - full or part-time - for at least 26 weeks up to and into the 15th week (known as the Qualifying Week) before the week the baby's due.
Average Earnings Weeks	Enter a value for the Average Earnings Weeks. To qualify for SMP, an employee must have average weekly earnings of at least the NIC LEL amount, £118.00, in the 8 weeks before the Qualifying Week.
No of Wks at High Rate	Enter a value for the number of weeks at the high rate. First 6 weeks - 90% of average weekly earnings with no upper limit.
Max SMP Weeks	Enter a value for the maximum SMP weeks. SMP will be paid for 39 weeks.
SMP Pay Code	Select a relevant SMP pay code from the drop-down menu or type an SMP code.
SMP Recovery Percentage	Enter a value for the recovery percentage for SMP. All employers are entitled to recover 92% of SMP they pay, however, if the employer qualifies for Small Employers Relief, where the total NIC in the qualifying tax year was under £45,000, they can recover 100% of SMP paid plus an additional 3% in compensation for the employer's share of NIC due on these payments.

3. Click **Save**.

3.3. Configure Statutory Paternity Pay (SPP)

Your employee may be entitled to Statutory Paternity Pay if their spouse or partner adopts a child. This replaces their normal earnings and helps them take time off to care for the child. Further details can be found on the [government website](#).

Payments of SPP count as earnings and you must deduct tax and National Insurance from SPP in the usual way. You'll normally be able to recover some or all of the SPP (Adoption).

To maintain statutory paternity pay configuration:

1. Go to the *General* screen.
2. Fill in the relevant fields in the SPP section. Mandatory fields are highlighted with a red asterisk.



The screenshot shows a configuration screen for Statutory Paternity Pay (SPP). It contains four input fields: 'SPP Pay Code' with a dropdown menu showing 'Statutory Paternity Pay', 'Max SPP Weeks *' with a text input containing '2', 'SPP Recovery Percentage *' with a text input containing '92', and 'SPP Entitlement Cut Off' which is currently empty. The fields for 'Max SPP Weeks' and 'SPP Recovery Percentage' are marked with a red asterisk to indicate they are mandatory.

Field	Description
SPP Pay Code	Select an SPP pay code from the drop-down menu or type an SSP pay code.
Max SPP Weeks	Enter a value for the maximum SPP weeks. For the tax year 2019/20, SPP is paid for one or two consecutive whole weeks at the lower of £148.68 per week or 90% of the employee's average weekly earnings
SPP Recovery Percentage	Enter a value for the recovery percentage for SPP. All employers are entitled to recover 92% of SPP (Adoption) they pay, however, if the employer qualifies for Small Employers Relief, where the total NIC in the qualifying tax year was under £45,000, they can recover 100% of SPP paid plus an additional 3% in compensation for the employer's share of NIC due on these payments.

Field	Description
SPP Entitlement Cut Off	Enter the number of days before which the employee must avail of their SPP entitlement.

3. Click **Save**.

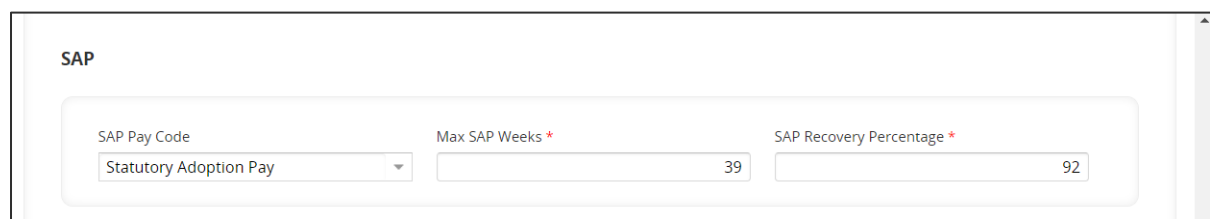
3.4. Configure Statutory Adoption Pay (SAP)

Your employee may be entitled to Statutory Adoption Pay (SAP) if they adopt a child. It replaces their normal earnings to help them take time off around the time that the child is placed with them. Further details can be found on the [government website](#).

Payments of SAP count as earnings and you must deduct tax and National Insurance from SPP in the usual way. You will normally be able to recover some or all of the amounts you have to pay out as SAP.

To maintain statutory paternity pay configuration:

1. Go to the *General* screen.
2. Fill in the relevant fields in the SAP section. Mandatory fields are highlighted with a red asterisk.



Field	Description
SAP Pay Code	Select an SAP pay code from the drop-down menu or type an SAP pay code.
Max SAP Weeks	Enter a value for the maximum SAP weeks. The Adopter is entitled to 52 weeks of statutory adoption leave. SAP is payable for 39 weeks.
SAP Recovery Percentage	Enter a value for the recovery percentage for SAP. All employers are entitled to recover 92% of SAP they pay, however if the employer qualifies

Field	Description
	for Small Employers Relief, where the total NIC in the qualifying tax year was under £45,000, they can recover 100% of SAP paid plus an additional 3% in compensation for the employer's share of NIC due on these payments.

3. Click **Save**.

3.5. Configure Keep In Touch Days

To maintain keep in touch days configuration:

1. Go to the *General* screen.
2. Fill in the relevant fields in the Keep in Touch Days section. Mandatory fields are highlighted with a red asterisk.

Field	Description
SMP Pay Code	Select an SMP pay code from the drop-down menu or type an SAP pay code. This is used for calculating Keep In Touch days for SMP. A daily allowance pay code needs to be set up with a multiplier of zero. Every time a female employee comes into work during a 39-week maternity leave, she is given a timesheet entry using this daily pay code. If she comes in more than 10 days, the system will hold one week SMP entitlement and continue paying SMP as normal the following week.
ShPP Pay Code	Select an ShPP pay code from the drop-down menu or type an ShPP pay code. This is used for calculating Keep In Touch days for ShPP.

Field	Description
Max Days SMP	Enter the maximum number of Keep In Touch Days before the employee loses SMP or SAP entitlement. This specifies the max amount of days that a female employee can come into work during her SMP period without losing one week of SMP entitlement.
Max Days ShPP	Enter the maximum number of Keep In Touch Days before the employee loses ShPP entitlement.

3. Click **Save**.

3.6. Configure Other Statutory Pay Parameters

To maintain other statutory pay configuration:

1. Go to the *General* screen.
2. Fill in the relevant fields in the General section. Mandatory fields are highlighted with a red asterisk.

General

Current Year Statutory Rate *

Previous Year Statutory Rate *

Emergency Tax Code

Basic Rate Tax Code

Average Earnings Warning
☒

NIC Compensation Percentage *

Temp RejoinersP46 No Box Ticked

Scottish tax Code

Field	Description
Current Year Statutory Rate	Enter the current year's statutory rate.
Previous Year Statutory Rate	Enter the previous year's statutory rate.
Emergency Tax Code	Enter the default emergency tax code. This must be checked at the start of each year as this can be changed by Inland Revenue.
Basic Rate Tax Code	Enter the default basic rate tax code. This must be checked at the start of each year as this can be changed by Inland Revenue.

Field	Description
Average Earnings Warning	Enable this indicator to pay SSP when an employee's earnings are lower than the lower earnings limit.
NIC Compensation Percentage	Enter the relevant NIC compensation percentage as per the P32 requirement.
Temp Rejoiners P46 No Box Ticked	Enter the tax code to be used for paying leavers who are temporarily re-joined or who have no box ticked on the P46 screen, e.g. 'OT'.
Scottish Tax Code	Enter the tax code to be used for paying leavers who are temporarily re-joined or who have no box ticked on the P46 screen, e.g. 'SOT'.

3. Click **Save**.

3.7. Configure Redundancy

To maintain Redundancy configuration:

1. Go to the *General* screen.
2. Fill in the relevant fields in the Redundancy section.

Redundancy

Max Redundancy Rate

475

Max Redundancy Weeks

20

Max Redundancy Years

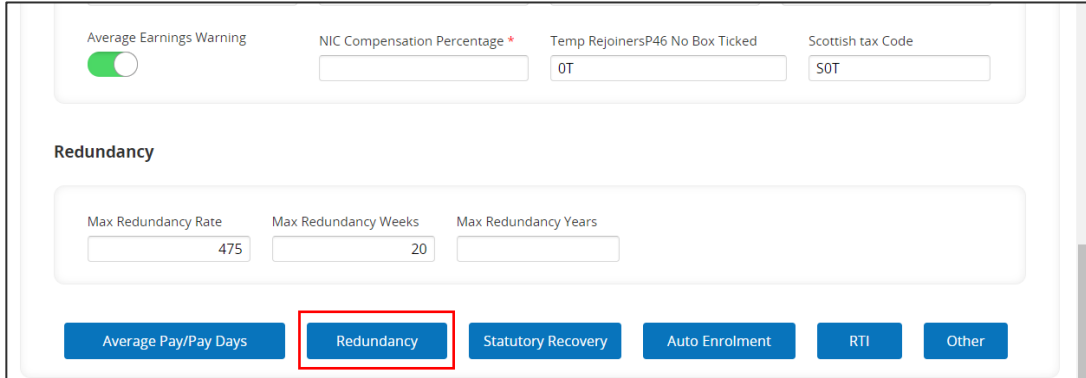
Status	Impact
Max Redundancy Rate	Enter a value for the maximum weekly redundancy rate.
Max Redundancy Weeks	Enter a value for the maximum number of weeks redundancy an employee is entitled to.
Max Redundancy Years	Enter the number of years to cap redundancy calculations.

3. Click **Save**.

3.7.1. Configure Redundancy Parameters

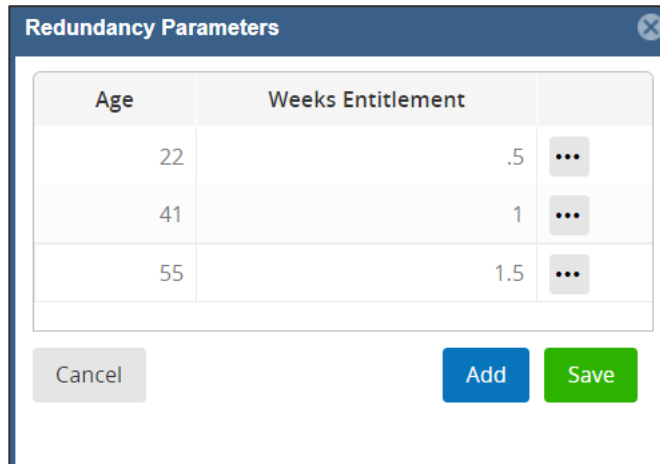
Follow these steps to set the redundancy weeks entitlement by age range.

1. Click **Redundancy** to open the *Redundancy Parameters* screen.



The screenshot shows the 'Redundancy Parameters' configuration screen. At the top, there are four settings: 'Average Earnings Warning' (a toggle switch), 'NIC Compensation Percentage' (a text input field), 'Temp Rejoiners P46 No Box Ticked' (a dropdown menu showing 'OT'), and 'Scottish tax Code' (a text input field showing 'S0T'). Below these is a section titled 'Redundancy' containing three input fields: 'Max Redundancy Rate' (475), 'Max Redundancy Weeks' (20), and 'Max Redundancy Years'. At the bottom, there is a row of buttons: 'Average Pay/Pay Days', 'Redundancy' (highlighted with a red box), 'Statutory Recovery', 'Auto Enrolment', 'RTI', and 'Other'.

2. Click **Add**. This creates a new row.



The screenshot shows a 'Redundancy Parameters' dialog box with a table. The table has two columns: 'Age' and 'Weeks Entitlement'. There are three rows of data:

Age	Weeks Entitlement
22	.5
41	1
55	1.5

Each row has a three-dot menu icon to its right. At the bottom of the dialog, there are three buttons: 'Cancel', 'Add', and 'Save'.

3. Enter an **Age**.
4. Enter the **Weeks Entitlement** for that age.
5. Repeat for the required age ranges.
6. Click **Save**.

3.8. Configure Additional Statutory Parameters

Further statutory parameters are available using the buttons at the bottom of the General screen.

Redundancy

Max Redundancy Rate: 538 Max Redundancy Weeks: 20 Max Redundancy Years: 20

[Average Pay/Pay Days](#) [Redundancy](#) [Statutory Recovery](#) [Auto Enrolment](#) [RTI](#) [Other](#)

[Save](#)

3.8.1. Average Pay/Pay Days

Follow these steps to set the monthly and weekly paydays for SSP and SMP by pay group.

1. Click **Average Pay/Pay Days** to open the *PAY3400A* screen.
2. Select a **Pay Group** from the drop-down list.

Maintain SSP/SMP Pay Days

Pay Group: 1 MONTHLY PAYROLL (UK)

Monthly Pay Day

Month	Day	Pay Day
January	31	31-January
February	28	28-February
March	30	30-March
April	30	30-April
May	31	31-May
June	30	30-June
July	31	31-July
August	31	31-August
September	30	30-September
October	31	31-October
November	30	30-November
December	31	31-December

Weekly Pay Day

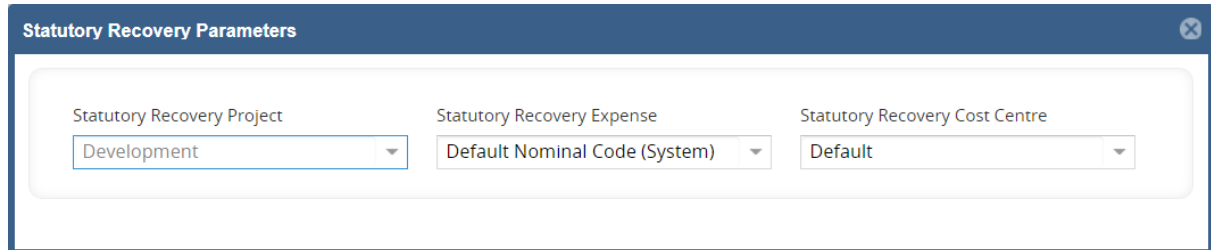
Day in Week: 7 Sunday Offset Days:

3. Fill in the fields as required.
4. Click **Save**.

3.8.2. Configure Statutory Recovery Parameters

To configure statutory recover parameters:

1. Click the **Statutory Recovery** button to open the *Statutory Recovery Parameters* screen.



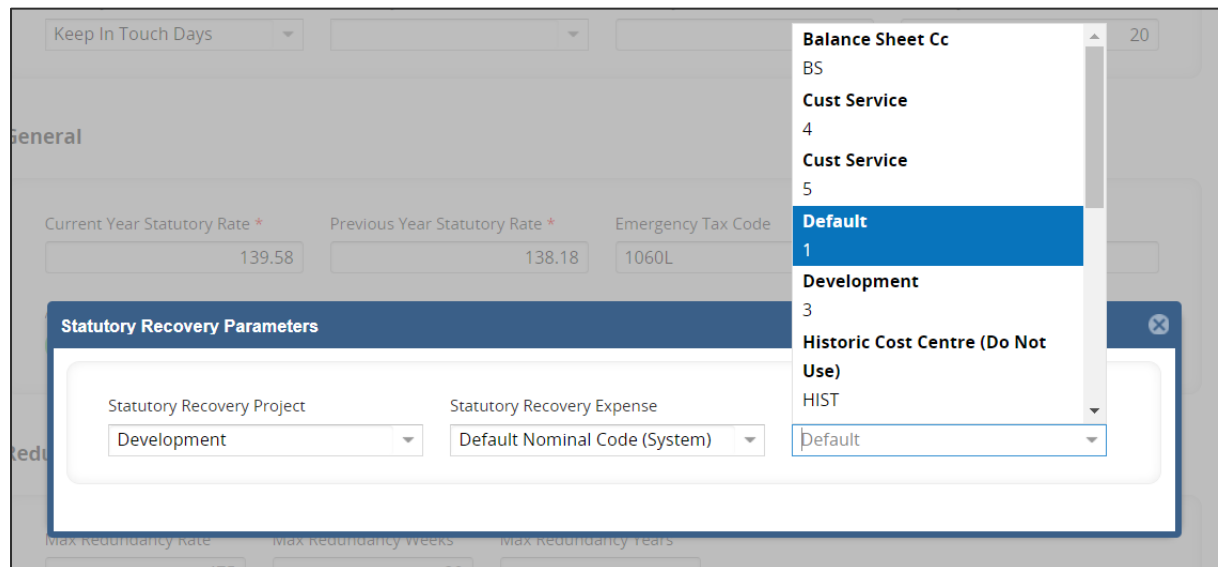
Statutory Recovery Parameters

Statutory Recovery Project: Development

Statutory Recovery Expense: Default Nominal Code (System)

Statutory Recovery Cost Centre: Default

2. Select the Codes to be set against Statutory Recovery:
 - a. Project Code
 - b. Expense Code
 - c. Cost Centre Code



Keep In Touch Days: [dropdown]

General

Current Year Statutory Rate *: 139.58

Previous Year Statutory Rate *: 138.18

Emergency Tax Code: 1060L

Statutory Recovery Parameters

Statutory Recovery Project: Development

Statutory Recovery Expense: Default Nominal Code (System)

Statutory Recovery Cost Centre: [dropdown menu open]

- Balance Sheet Cc
- BS
- Cust Service
- 4
- Cust Service
- 5
- Default**
- 1
- Development
- 3
- Historic Cost Centre (Do Not Use)
- HIST

Max Redundancy Rate: 475

Max Redundancy Weeks: 20

Max Redundancy Years: [dropdown]

3. Click **X** to close this screen, and click **Save** on the *General* screen to save any changes.

4. Menu Options Required

To access the *Maintain SSP Rates* and *General* screens, users require the following menu options:

Menu Option	System
Settings - Maintain SSP Rate	CorePortal Pay
Settings - General	CorePortal Pay